

In this chapter, I use some ideas and concepts from recent advances in statistics that fall under the general label of Monte Carlo techniques, to provide yet another perspective on the problem of generating a sustainable retirement income.

Conducting a Needs Analysis

Obviously, before I begin any discussion of retirement investment strategies, you must determine the extent to which you are dependent on your financial assets to sustain a standard of living. In other words, you must conduct a “needs analysis.” Pertinent questions would include: What standard of living would you like to maintain during your retirement years? Do you want to travel the world? Will you stay at home? These questions may not be as easy to answer as they seem. They certainly involve making important assumptions about lifestyle preferences and market conditions. But the bottom line is that you—possibly with the help of a financial advisor—must estimate how much you will require on an annual basis to maintain a desired standard of living in retirement. Ideally, this “needs analysis” should be conducted many years prior to retirement while you are still in the process of converting your human capital into financial capital.

The objective is to get a desired number—an annual income level—that can be funded by the total financial assets that you have “mined” from your human capital over your working years (and possibly beyond). Without a good feel for what you’ll need, it’s meaningless to talk about appropriate investments to finance those needs.

When the needs analysis is completed, you can move on to stage two. There you and your financial advisor can discuss an appropriate asset allocation during the retirement years.

Now, at the risk of sounding simplistic, I’d like to start this analysis by stating the obvious. If, at age 65, you have liquid financial assets that are 100 times greater than your annual consumption requirements, then no matter how you invest during your retirement years, you will never run out of money. Of course, very few Americans are fortunate enough to be in this category. But presumably, those who are have no reason to change their investment philosophy at retirement.